

Why energy shocks matter more than you think

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Energy shocks bite beyond the pump, they ripple through supply chains. If the Middle East conflict remains mainly a fuel story, the inflation hit should be smaller but still notable.



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Energy is far more embedded in domestic activity than direct usage suggests. Once indirect supply

chain impacts are captured, around 40 cents of energy inputs are required for every \$1 of output in the non tradable (or domestic) sector. The extent of this exposure explains why energy shocks can have broad, persistent inflationary effects.

Not all production flows to households. Some is exported or invested so the pass through to CPI inflation is smaller but significant. We estimate that around 7 cents of energy is embedded in every \$1 of spending on the CPI basket. This captures the energy used in producing items in the CPI basket and is over and above imported fuel.

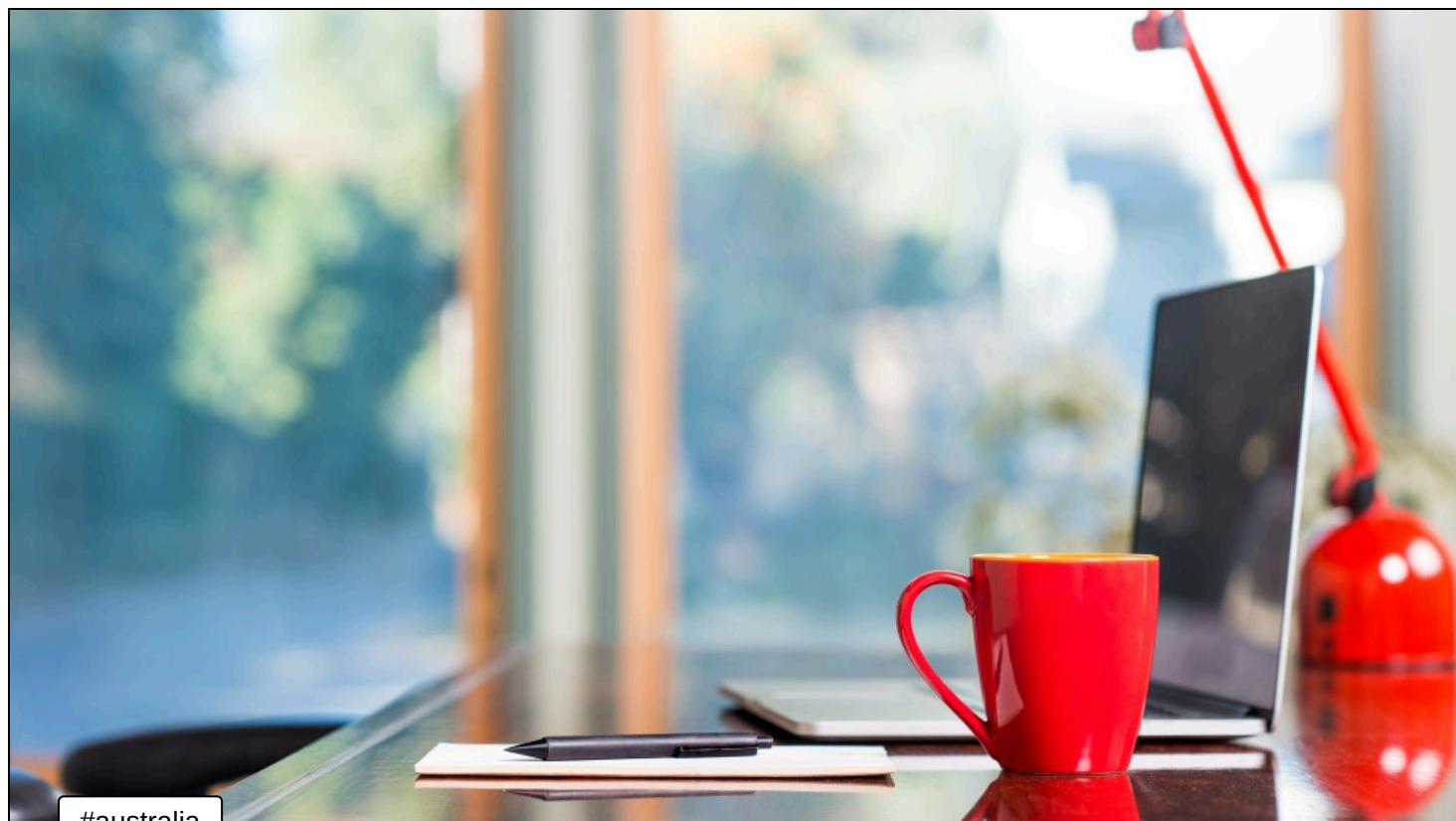
Thus far Australia's exposure to the conflict in the Middle East has been concentrated in oil and fuel. If that remains the case, CPI impacts should be roughly half those seen under a broad based energy shock. Higher prices would need to spread to gas and electricity, as in 2022, for inflation risks to be more persistent and harder to unwind. The wholesale gas price ceiling now in place limits this risk.

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